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ECO-02

BACHELOR'S DEGREE PROGRAMME
(BDP)

Term-End Examination

June, 2024

(Elective Course : Commerce)

ECO-02 : ACCOUNTANCY-I

Time : 2 Hours

Maximum Marks : 50

Note : Attempt any **four** questions. Question no. 1 is compulsory.

1. (a) What do you mean by Trial Balance ? 4
- (b) From the following balances prepare a Trial Balance : 10

Particulars	₹
Drawings	2,000
General Expenses	4,740
Buildings	20,000

P. T. O.

Stock	16,540
Wages	8,515
Debtors	6,280
Creditors	2,500
Bad Debts	550
Loan to Ravi	7,880
Sales	68,000
Purchases	40,000
Bank Overdraft	10,000
Capital	?

2. Explain advantages and limitations of accounting. 6+6

3. Explain various types of errors which are usually committed in the process of accounting. Give suitable examples. 12

4. What are the differences between Receipts and Payments Account and Income and Expenditure Account ? 6+6

5. Journalise the following transactions in the book of Pradeep : 12

April, ₹
2023

1	Pradeep started business with cash	2,00,000
3	Paid into Bank	70,000
5	Cash Sales	30,000
7	Cash Purchases	20,000
12	Paid Salaries	15,000
15	Paid Rent	5,000
25	Closing Stock on hand	2,000
26	Paid Cash to Mohan ₹ 3,000 and received discount of ₹ 100	

6. Deepa and Eshwari entered into a joint venture to purchase stationeries and supply them to colleges. They agreed to share profits in the ratio of 5 : 3 and to maintain books of accounts

for the joint venture under Memorandum Joint Venture method.

Deepa and Eshwari purchased stationaries for ₹ 6,00,000 and 4,50,000 respectively and sold them for ₹ 7,50,000 and 5,25,000 respectively. Selling expenses incurred by them are ₹ 35,000 and ₹ 25,000 respectively. No goods remained unsold and the final amount is settled by a cheque.

Prepare necessary accounts in the books of Deepa.

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Time : 2 Hours

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Note : Attempt **four** questions in all. Question No. 1 is Compulsory.

1. From the following transactions, make accounting equation and prepare the Balance Sheet from the balances of new equation : 14

		₹
(i)	Rahul started business with cash	1,00,000
(ii)	Purchased goods for cash	30,000
(iii)	Purchased goods on credit	15,000
(iv)	Purchased furniture for cash	5,000
(v)	Rent received	3,000

P. T. O.

(vi)	Commission paid	1,000
(vii)	Withdrew cash for personal use	5,000
(viii)	Sold goods on credit (Cost Price ₹ 40,000)	50,000
(ix)	Paid to creditors	10,000
(x)	Received from Debtors	8,000

2. Differentiate between a Bill of Exchange and a Promissory Note. State the transactions recorded in Bills Receivable (BR) and Bills Payable (BP) book. 12

3. Discuss the drawbacks of Single Entry System of Accounting. Explain the methods of ascertaining profit when accounting records are incomplete. 4, 8

4. On 1st January 2022, 'Anil' of Karnal consigned to 'Shyam' of Madras goods for sale at invoice price. 'Shyam' is entitled to commission of 5% on invoice price and 18% of any price realized beyond invoice price. Goods costing ₹ 14,000 were consigned to 'Shyam' at the invoice price of ₹ 16,400. The expenses on sending the goods

amounted to ₹ 2,000. On 31st March, 2022 an account sale was received from 'Shyam' showing that he had sold goods worth ₹ 10,000 in respect of 3/4th of the quantity of goods consigned to him. His actual expenses amounted to ₹ 500. 'Shyam' accepted the bill drawn by 'Anil' for ₹ 4,000 and remitted the balance due from him in cash. Prepare Consignment Account and 'Shyam' account in the books of 'Anil'.

12

5. Give the journal entries to rectify the following errors:

12

- (i) A sum of ₹ 500 written off as depreciation on plant was not posted to Depreciation A/c.
- (ii) Purchases returns book was overcast by ₹ 700.
- (iii) ₹ 515 stolen by ex-employee stood debited to Suspense A/c.
- (iv) ₹ 2,500 received from a customer as advanced was credited to Sales A/c.

- (v) Purchase of a Motor Bike was debited to Conveyance A/c ₹ 60,000. Firm charges depreciation @ 15% on vehicles.
 - (vi) Payment of ₹ 400 to Dhar and ₹ 500 to Saran was made, but Saran was debited with ₹ 400 and Dhar with ₹ 300.
6. What are the merits and demerits of written down value method of depreciation ? Distinguish it from the straight line method. 12

BACHELOR'S DEGREE PROGRAMME

Term-End Examination

June, 2021

ELECTIVE COURSE : COMMERCE

ECO-02 : ACCOUNTANCY – I

Time : 2 hours

Maximum Marks : 50

(Weightage : 70%)

Note : Attempt any **four** questions including Question No. 1 which is **compulsory**.

1. Attempt any **two** of the following questions : $2 \times 7 = 14$

- (a) What are the objectives of Accounting ?
Name the different parties interested in accounting information.
- (b) What do you understand by an Opening Entry ? How is an opening entry posted into the ledger ?
- (c) State the various causes of disagreement between the balances shown by Cash Book and Pass Book.
- (d) Differentiate between a Bill of Exchange and a Promissory Note. State their importance for modern business.

2. (a) Is Trial Balance a conclusive proof of the accuracy of the books of accounts ? If not, discuss the errors which are not disclosed by the Trial Balance. 6
- (b) An extract from a trader's Trial Balance on March 31, 2017 is given below :

Name of the Account	Dr. (₹)	Cr. (₹)
Sundry Debtors	12,80,000	
Bad Debts	80,000	
Provision for Bad Debts		1,40,000

Adjustments : Write off further bad debts ₹ 40,000 and create a provision for doubtful debts at 5 per cent on debtors. Pass the necessary Journal entries and show Bad Debts and Provision for Bad Debts Accounts. 6

3. Philips Radio & Company, Delhi sent one consignment to Chander & Company, Mumbai containing 100 radio sets, invoiced at ₹ 100 each on January 6, 2017. Phillips Radio & Company paid ₹ 1,000 on the same day for dispatching goods to the consignee. The consignee remitted ₹ 5,000 as an advance by bank draft on January 14. The consignee is entitled to a commission of 10% on the sale proceeds. On receipt of the goods, the consignee paid ₹ 1,000 for freight and ₹ 500 for godown charges. On January 28, Chander & Company sold the goods at ₹ 200 per radio set and remitted the amount due to Phillips Radio & Company. Pass Journal entries and prepare necessary ledger accounts in the books of the consignor. 12

4. Mahesh keeps his books on single entry system.
His position on March 31, 2016 was as follows :

Cash in hand ₹ 2,400; Cash at bank ₹ 25,500;
Debtors ₹ 18,400; Stock ₹ 28,600;
Furniture ₹ 5,000; Creditors ₹ 18,700;
Expenses Outstanding ₹ 2,000.

On October 1, 2016 Mahesh introduced ₹ 10,000 as additional capital in the business out of which a machine costing ₹ 5,000 was purchased for the business. His drawings during the year totalled ₹ 2,000.

On March 31, 2017 his position was as follows :

Cash in hand ₹ 2,600; Cash at bank ₹ 27,500;
Debtors ₹ 24,200; Stock ₹ 31,500;
Furniture ₹ 4,500; Creditors ₹ 20,200;
Prepaid Insurance ₹ 200.

Prepare the necessary Statements of Affairs and Statement of Profit for the year ending March 31, 2017 and ascertain the profit or loss. 12

5. (a) Explain the meaning and accounting treatment of the terms 'Subscriptions' and 'Legacy' while preparing the final accounts of a non-trading concern. 4

- (b) Mohan and Sons purchased machinery for ₹ 25,00,000 on April 1, 2013. The machinery was depreciated at 10 per cent per year under the straight line method. On April 1, 2016, they changed the method of depreciation from straight line method to written down value method of depreciation without changing the rate. Show the Machinery Account from April 1, 2013 to March 31, 2017.

8

6. Write short notes on any *three* of the following : $3 \times 4 = 12$

- (a) Difference between Joint Venture and Partnership
 - (b) Going Concern Concept
 - (c) Self-Balancing System
 - (d) Capital Reserve and Revenue Reserve
 - (e) Straight Line Method of Depreciation
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**BACHELOR'S DEGREE PROGRAMME
(B.Com.)****Term-End Examination****June, 2022****ELECTIVE COURSE : COMMERCE****ECO-02 : ACCOUNTANCY – I***Time : 2 hours**Maximum Marks : 50**(Weightage : 70%)*

Note : Attempt any **four** questions. Question No. **1** is **compulsory**.

1. From the following transactions, make accounting equation and prepare the Balance Sheet :

14

	(₹)
(i) Mukesh started business with cash	80,000
(ii) Purchased goods for cash	28,000
(iii) Purchased goods on credit	20,000
(iv) Purchased furniture for cash	6,000
(v) Paid rent	2,000
(vi) Received commission	500
(vii) Withdrew cash for personal use	3,000
(viii) Sold goods on credit (Cost Price ₹ 30,000)	40,000
(ix) Paid to creditors	15,000

2. How is Bank Reconciliation Statement prepared from the adjusted balance of Cash Book ? Discuss with example. 12
3. Explain both the methods of determining profit under Single Entry System of Accounting. 6+6
4. On 1st January, 2020, 'X' of Delhi consigned to 'Y' of Mumbai goods for sale at invoice price. 'Y' is entitled to commission of 4% on invoice price and 20% of any price realized beyond invoice price. Goods costing ₹ 12,000 were consigned to 'Y' at the invoice price of ₹ 14,400. The expenses on sending the goods amounted to ₹ 1,000. On 31st March, 2020 an account sale was received from 'Y' showing that he had sold goods worth ₹ 12,000 in respect of $\frac{3}{4}$ th of the quantity of goods consigned to him. His actual expenses amounted to ₹ 600. 'Y' accepted the bill drawn by 'X' for ₹ 5,000 and remitted the balance due from him in cash. Prepare consignment account and 'Y' account in the books of 'X'. 12

5. Give the journal entries to rectify the following errors :

12

- (i) A sum of ₹ 600 written off as depreciation on Machine was not posted to Depreciation A/c.
- (ii) Purchase Returns Book was overcast by ₹ 300.
- (iii) ₹ 880 stolen by ex-employee stood debited to Suspense A/c.
- (iv) ₹ 1,000 received from a customer as advance was credited to Sales A/c.
- (v) Purchase of a Scooter was debited to Conveyance A/c ₹ 6,000. Firm charges depreciation @ 10% on vehicles.
- (vi) Payment of ₹ 300 to Ramesh and ₹ 400 to Rajesh was made but Ramesh was debited with ₹ 400 and Rajesh with ₹ 300.

6. Explain different types of Reserves. Distinguish between 'Provisions' and 'Reserves'.

6+6

BACHELOR'S DEGREE PROGRAMME

Term-End Examination

ELECTIVE COURSE : COMMERCE

ECO-002 : ACCOUNTANCY-I

Time : 2 Hours]

[Maximum Marks : 50

(Weightage : 70%)

Note: Attempt any four questions. Question No. 1 is compulsory.

1. Attempt any two questions from the following: 7+7
 - (a) Explain the limitations of Accounting.
 - (b) What are the different concepts of accounting?
Explain the 'Dual Concept' of Accounting.
 - (c) How one sided errors are rectified? Explain with the help of suitable example.
 - (d) Differentiate between 'Sale' and 'Consignment'.
2. Megha Ltd. consigned 5000 kg. of Vanaspati Ghee to Ashoka Dealers, Chandigarh @ Rs. 8 per kg. Megha Ltd. paid Rs. 50 for carriage, Rs. 250 for packing and Rs. 200 for insurance. After 3 months from the date of consignment of goods Ashoka dealers reported that 3500 kg of ghee was sold @ Rs. 9.5 per kg and expenses were Rs. 500 on



godown rent and Rs. 750 on salesman salary. Ashoka dealers are entitled to a commission of 5% on sales. 500 kg ghee was destroyed in the godown. Insurance claim of Rs. 3500 was admitted. Prepare necessary ledger accounts in the books of Megha Ltd. 12

3. What is Bank Reconciliation Statement? Discuss the causes of disagreement between the balances shown by Cash Book and Pass Book. 4+8
4. Distinguish between: 4+4+4
 - (a) Outstanding expenses and unexpired expenses
 - (b) Normal loss and Abnormal loss
 - (c) Provision for discount on debtors and provision for discount on creditors.
5. What is Sectional Balancing? How does it differ from self-balancing? Give proforma of a Total Debtor Account. 3+3+6
6. Sharat & Sons purchased a car for Rs. 1,00,000 on 1st January, 2014. The car was depreciated at 10% under written down value method. On 1st January, 2017, they wanted to change the method of depreciation from W.D.V. method to straight line method without changing the rate. Show the asset amount from 2014 to 2017. 12

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